Home First Finance Company

Q2FY23 Result Update | BFSI

DALAL & BROACHA

Equity Research Desk

20 October 2022

Revise rating from BUY to SELL

Q2FY23 PAT came in at INR 543 mn, up by 21% yoy and 5.9% qoq. Below are the key highlights of the results

- AUM witnessed strong growth of 36% yoy and 7.6% qoq to INR 627 bn. Disbursements were also up by 36% yoy. Incremental assigned + co-lending book was slightly lower in Q2 at INR 857 mn down by 7.6% qoq. Within total loans, home loans reported growth of 31.5% yoy while the LAP book is growing at very high pace of 127% yoy to INR 6.3 bn. Share of LAP book has increased from 6% to 10% on yoy basis
- Margins remained largely steady on sequential basis at 6.5%; portfolio yield was up by 30 bps qoq to 13% levels. Spreads too were maintained at 5.8% levels. Management alluded that the spreads in the longer run will come down to 5.25% levels as there will be rise in the borrowings cost. The marginal spreads for the company are at 5.4% levels
- Bounce rates during the quarter jumped to 15.6% levels vs. 14% in Q1 due to factors like 1) there in rise in the bounce rates across the industry level 2) customers are missing onto making payments on the due date and later paying the same via UPI or any other digital mode.
- However asset quality performance was largely satisfactory; GNPA came down to 1.9% from 2.1% qoq and net NPAs to 1.4% from 1.7% (PCR is at 50.8% vs. 45.8% qoq).

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
NII	1,895	2,622	3,340	4,319	5,413
PAT	1,001	1,861	2,215	2,801	3,555
Net worth	13,805	15,737	17,952	20,753	24,308
Adj BVPS	153	171	195	226	265
EPS (Rs)	11	21	25	32	41
P/ABV (x)	5.2	4.7	4.1	3.5	3.0
P/E (x)	70	38	32	25	20
RoA (%)	2.5	3.9	3.8	3.8	3.8
RoE (%)	8.7	12.6	13.1	14.5	15.8

Source: Dalal & Broacha Research, Company

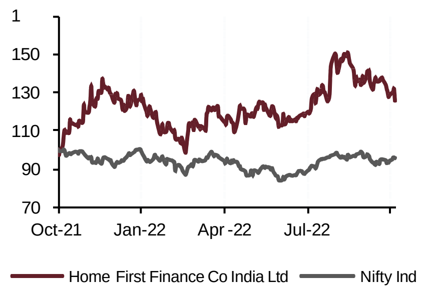
Rating	TP (Rs)	Up/Dn (%)
SELL	**792**	**-1**

Market data

Current price	**Rs**	**802**
Market Cap (Rs.Bn)	(Rs Bn)	71
Market Cap (US$ Mn)	(US$ Mn)	855
Face Value	Rs	2
52 Weeks High/Low	Rs	1004.55 / 600
Average Daily Volume	('000)	92
BSE Code		543259
Bloomberg		HOMEFIRST.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	0	0
Public	33.6	33.6
Others	66.4	66.4
Total	**100.0**	**100.0**

Source: Bloomberg

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Valuations

There were couple of red flags in the Q2FY23 results – 1) increase in the bounce rates by 1.5% qoq to 15.6% levels; however, in our view, it is not alarming at the current juncture 2) incremental spreads are at 5.4% levels vs. Q2FY23 levels of 5.8%. The management alluded that long term guidance of spreads is 5.25%, which is good 55 bps down from the current levels. Borrowings costs are likely to catch up going forward. This implies the company is not willing to transfer all the increased cost to its borrowers while absorbing some of the cost which is likely to impact the spreads. Growth momentum of the NII is estimated to come down to ~28% CAGR despite strong AUM growth of ~30% for the next 2 years. This will result in slowdown in the PAT growth to 19% yoy. Although, it is in niche affordable lending space where the competition is less, profitability growth will not be healthy given disadvantage on the funding cost. In our view, premium valuations of company should come down. **We re-rate our rating on the stock from BUY earlier to SELL now with revised TP of INR 792**, discounting its FY24e ABV by 3.5x, downside of 1% from current levels. Key risks to our assumptions – substantial rise in the portfolio yields compensating for increase in borrowings cost.

Con-call Highlights

- Long term guidance for spreads going forward is 5.25% mark as compared to 5.8% levels seen currently due to rise in borrowings cost. Incremental spreads are at 5.4% levels
- Effective lending rates have increased by 25 bps in Q1FY23. This hike is more in the nature of the increase in tenure than increase in the EMI levels. In H2FY23, it is likely to take another round of 50 bps hike which is likely to be hike in the lending rate as there will be commensurate increase in borrowings cost as well
- Mix of the loan book going ahead - home loans is likely to have 85% share and LAP book 15% share. Share of the LAP book over the last one year is increased from 6% to 10%. Yields in this LAP book is 100-200 bps higher than the typical home loans segment, average ticket size is 10-15 lacs and loans are against largely residential properties (90%)
- The company is witnessing good demand; customers aren't rate sensitive in the category where the NBFC operates. Hence, higher lending rates is not likely to impact the growth outlook going forward.
- The current branch network will increase to 150 from current 101 in the next 2 years time
- Outlook is for assignments in future is slightly moderating from current run-rate of INR 100 cr to 80-100 cr

Quarterly Financials

(Rs mn)	Q2FY23	Q2FY22	yoy (%)	Q1FY23	QoQ (%)
Interest income	1727	1240	39.3	1547	11.7
Interest expense	712	543	31.1	607	17.2
Net interest income	**1016**	**697**	45.6	**940**	8.1
Net gain on DA	93	171	-45.4	99	-5.8
Other Income	73	50	46.4	48	53.3
Net Income	**1182**	**918**	28.8	**1086**	8.8
Operating Expenses	**315**	**284**	11.0	**321**	-1.8
Employee expense	266	192	38.7	256	3.9
Other expense	175	130	34.4	132	33.3
PPOP	**741**	**596**	24.3	**699**	6.0
Provisions	50	33	49.3	36	37.4
PBT	**692**	**563**	22.8	**663**	4.3
Tax	149	114	30.2	151	-1.0
One-time tax adjustment					
PAT	**543**	**449**	20.9	**512**	5.9
		Loan Book (Rs mn)			
Disbursements	**7022**	**5152**	36.3	**6612**	6.2
Gross Loan Assets / AUM	**62754**	**46170**	35.9	**58319**	7.6
Assigned + Co-lending	**857**	**1273**	-32.7	**879**	-2.5
Loans - Principal Outstanding	**62754**	**46170**	35.9	**58319**	7.6
Housing Loan	55851	42476	31.5	52,487	6.4
Loans for Commercial Property	628	462	35.9	583	7.6
Loans Against Property	6275	2770	126.5	5,249	19.6
Developer Finance		462	-100.0	-	-
Total	**62754**	**46170**	35.9	**58,319**	7.6
		AUM Mix Share (%)			
Housing Loan	**89.0**	**92.0**		**90.0**	
Loans for Commercial Property	**1.0**	**1.0**		**1.0**	
Loans Against Property	**10.0**	**6.0**		**9.0**	
Developer Finance	**0.0**	**1.0**		**0.0**	
Total	**100.0**	**100.0**		**100.0**	
		Asset Quality (%)			
DPD 1+	4.7	7.6		5.0	
DPD 30+/POS	3.3	5.2		3.5	
Gross Stage 3 (GNPAs)	1.9	1.7		2.1	
Net Stage 3 (Net NPAs)	1.4	1.2		1.7	
PCR	50.8	77.4		45.8	
		Yield, Cost of Funds & Spreads (%)			
Portfolio Yield (IGAAP)	13.0	12.8		12.7	
Cost of Borrowings (IGAAP)	7.1	7.1		6.9	
Spread	5.8	5.6		5.8	
NIM	6.5	5.3		6.4	
		Other Ratios (%)			
Cost-to-income	37.4	35.2		35.8	
CRAR	50.7	56.4		52.3	
Return on assets	3.8	3.7		3.9	
Return on equity	13.1	12.0		12.8	

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Mn)	FY20	FY21	FY22	FY23e	FY24e	FY25e
Interest income	3,425	4,061	4,770	6,424	8,596	11,279
Interest expense	1,938	2,166	2,148	3,084	4,277	5,866
NII	**1,487**	**1,895**	**2,622**	**3,340**	**4,319**	**5,413**
Non-interest income	754	830	1,187	1,547	1,821	2,317
Net revenues	**2,241**	**2,726**	**3,809**	**4,887**	**6,140**	**7,730**
Operating expenses	1,020	1,064	1,296	1,591	1,960	2,411
PPOP	**1,220**	**1,662**	**2,513**	**3,296**	**4,180**	**5,320**
Provisions	165	322	250	335	435	568
PBT	**1,055**	**1,340**	**2,263**	**2,961**	**3,745**	**4,752**
Tax	278	339	402	746	944	1,198
PAT	777	1,001	1,861	2,215	2,801	3,555
				19.0	26.5	26.9

Balance sheet	FY20	FY21	FY22	FY23e	FY24e	FY25e
Share capital	157	175	175	175	175	175
Reserves & surplus	9,178	13,631	15,562	17,776	20,578	24,132
Net worth	**9,334**	**13,805**	**15,737**	**17,952**	**20,753**	**24,308**
Borrowings	24,938	30,537	34,668	46,490	60,423	78,830
Other liability	530	759	764	967	1,235	1,579
Total liabilities	**34,802**	**45,101**	**51,169**	**65,409**	**82,411**	**1,04,717**
Fixed assets	210	167	200	249	297	338
Investments	1,456	3,750	-	3,000	3,150	3,308
Loans	30,139	33,265	43,049	55,788	72,507	94,596
Cash	2,221	6,799	6,678	5,005	5,060	5,049
Other assets	777	1,121	1,242	1,366	1,396	1,427
Total assets	**34,802**	**45,101**	**51,169**	**65,409**	**82,411**	**1,04,717**

Ratios	FY20	FY21	FY22	FY23e	FY24e	FY25e
Growth (%)						
NII	45.2	27.5	38.3	27.4	29.3	25.3
PPOP	68.3	36.2	51.2	31.1	26.8	27.3
PAT	71.9	28.8	85.8	19.0	26.5	26.9
Advances	41.2	10.4	29.4	29.6	30.0	30.5
Spread (%)						
Yield on Funds	13.3	12.8	12.5	13.0	13.4	13.5
Cost of Funds	8.8	7.8	6.6	7.6	8.0	8.4
Spread	4.5	5.0	5.9	5.4	5.4	5.1
Asset quality (%)						
Gross NPAs	1.0	1.8	2.3	2.0	1.8	1.6
Net NPAs	0.8	1.2	1.8	1.5	1.3	1.1
Provisions	25.8	36.0	24.9	26.3	27.5	28.4
Return ratios (%)						
RoE	10.7	8.7	12.6	13.1	14.5	15.8
RoA	2.6	2.5	3.9	3.8	3.8	3.8
Per share (Rs)						
EPS	9.9	11.5	21.2	25.3	32.0	40.6
BV	119.2	158.0	179.6	204.8	236.8	277.4
ABV	116.2	153.4	170.9	195.2	226.2	265.0
Valuation (x)						
P/E	80.8	70.0	37.8	31.7	25.1	19.8
P/BV	6.7	5.1	4.5	3.9	3.4	2.9
P/ABV	6.9	5.2	4.7	4.1	3.5	3.0

Source: Company, Dalal & Broach Research

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